CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E99E834C5
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Rob Walls <rob.walls@enron.com>
Sent: Thu, 31 May 2001 06:52:00 -0700 (PDT)
To: Doug Leach <doug.leach@enron.com>
Cc: Wade Cline <wade.cline@enron.com>, Michael A Robison <michael.robison@enron.com>, Brent A Price <brent.price@enron.com>, John L Nowlan <john.nowlan@enron.com>, Mike McConnell <mike.mcconnell@enron.com>, Jeffrey A Shankman <jeffrey.shankman@enron.com>, Bruce Lundstrom <bruce.lundstrom@enron.com>
Subject: RE: EFI/DPC FMA

Doug -

Thanks for the message and let me be the first to welcome you to the Dabhol team. Please send a copy of the FMA to Bruce Lundstrom and his team for review. One of us will get back to you to discuss a way forward.

That aside, I'm pretty impressed with your "third party beneficiary" proposal. Did you learn that in Hainan?

-----Original Message-----
From: Leach, Doug
Sent: Thursday, May 31, 2001 1:17 PM
To: Walls Jr., Rob
Cc: Cline, Wade; Robison, Michael; Price, Brent A.; Nowlan Jr., John L.; McConnell, Mike; Shankman, Jeffrey A.
Subject: EFI/DPC FMA

In light of the impending arbitration proceedings between DPC and MSEB should we file a third party beneficiary claim against MSEB regarding the Fuel Management Agreement? The FMA is not part of Enron's equity in the plant, but is directly related to MSEB's performance under the PPA. EFI is due $2.5 million per year in monthly installments, fluctuating with the plant's availibility and based on DPC being paid by MSEB. Currently $13.8 million of MTM value and approximately $21 million of acurral (non PV dollars) is at risk on Enron's books. The DPC plant went commercial in May, 1998 so there are seventeen (17) years left on the FMA. What if anything should we do to protect EFI's interest?

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